

Concept Note

Developed by Mecspace Hub Limited

PESABOX

Community Finance Management Platform

1. Concept Overview

PesaBox is a digital Community Finance Management Platform designed to help savings groups, development organizations, and microfinance institutions manage community-based financial activities in one system.

Across many communities, people organize themselves into savings groups to save money, access loans, contribute to social funds, finance small businesses, and support one another financially.

Organizations such as NGOs, development programs, microfinance institutions, cooperatives, and local institutions also work with these groups by providing training, financing, seed capital, monitoring, and technical support.

However, much of this ecosystem is still managed through:

- Paper member books;
- Cashbooks;
- Meeting registers;
- Loan notebooks;
- Excel spreadsheets;
- WhatsApp messages;
- Physical reports; and
- Disconnected digital tools.

This makes it difficult to know, in real time:

How much has been saved? Who owes money? Which loans are overdue? How is a group performing? How was external funding used? Which groups are becoming sustainable?

PesaBox digitizes this entire operational cycle.

It creates a structured financial and management record for every group, member, loan, contribution, meeting, project and funding source while giving organizations real-time visibility over the groups they support.

PesaBox therefore connects three levels:

Member → Group → Institution

into one digital financial management ecosystem.

2. The Problem

Community finance is highly active but often poorly digitized.

A typical savings group may have 20–30 members who meet periodically.

During a meeting, the group may need to record:

- Attendance;
- Shares purchased;
- Mandatory savings;
- Voluntary savings;
- Social fund contributions;
- Loan applications;

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- Loan disbursements;
- Loan repayments;
- Interest;
- Fines;
- Group expenses; and
- Project income.

All of these activities may currently be recorded manually.

This creates several problems.

Financial Record Problems

Paper records can be:

- Lost;
- Damaged;
- Incorrectly calculated;
- Difficult to audit;
- Manipulated; or
- Difficult to consolidate.

Loan Management Problems

Groups often struggle to clearly determine:

- Outstanding balances;
- Repayment schedules;
- Interest;
- Late repayments;
- Loan eligibility; and
- Available loan funds.

Institutional Monitoring Problems

An NGO supporting 100 or 1,000 groups cannot efficiently understand their performance by collecting paper reports from every group.

The organization needs to know:

- Which groups are active;
- Which groups are struggling;
- Which groups have strong savings;
- Which groups have high loan defaults;
- Which groups require field support;
- Which groups are ready to graduate from external support.

Funding Accountability Problems

Groups may receive external financing from:

- NGOs;
- Banks;
- Government authorities;
- Development programs;
- Foundations; or
- Microfinance institutions.

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The funder may know that a group received TZS 10 million, but still struggle to determine:

What was the money used for?

How much remains?

What income has the investment generated?

How much has been repaid?

PesaBox is designed to solve these problems.

3. The PesaBox Solution

PesaBox creates a digital financial operating system for community finance.

Instead of forcing every group into one financial model, PesaBox allows the financial structure of each group to be configured according to how that group actually operates.

A group may operate through:

Share-Based Savings

Members purchase shares during meetings.

For example:

Share Value: TZS 5,000

Minimum: 1 share

Maximum: 5 shares per meeting

A member may therefore contribute between TZS 5,000 and TZS 25,000 depending on their financial ability.

Mandatory Savings

Every member contributes a fixed amount.

For example:

Mandatory Saving: TZS 5,000 per meeting.

Voluntary Savings

Members save according to their ability.

For example:

Member A → TZS 10,000

Member B → TZS 30,000

Member C → TZS 7,000

Hybrid Model

A group may combine:

- Mandatory savings;
- Voluntary savings;
- Social fund;
- Membership fees;
- Loans;
- Fines; and
- Other contributions.

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This makes PesaBox suitable for different community finance models rather than only traditional VSLAs.

4. Two Core PesaBox Modes

PesaBox operates through two primary service modes.

A. Savings Groups Mode

Designed for:

- VSLA groups;
- WORTH groups;
- Community savings groups;
- Village groups;
- Women's groups;
- Youth groups;
- Farmer groups;
- Cooperatives;
- NGO-supported groups; and
- Independent savings groups.

The system manages the complete financial and operational life of the group.

B. Microfinance Mode

Designed for:

- Small microfinance institutions;
- Community lenders;
- Loan businesses;
- Branch-based microfinance organizations; and
- Other structured lending operations.

The system manages:

- Customers;
- Loan products;
- Customer packages;
- Loan applications;
- Loan approvals;
- Disbursements;
- Repayment schedules;
- Interest;
- Loan balances;
- Arrears; and
- Portfolio performance.

The two modes operate on the same PesaBox platform but provide workflows appropriate to each type of institution.

5. How PesaBox Works

PesaBox follows a simple operating structure:

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Create Account → Create Organization/Group → Configure Financial Rules → Add Members → Run Meetings → Record Transactions → Manage Loans → Monitor Performance → Generate Reports

6. Step One — Create an Account

A user creates a personal PesaBox account.

The platform then asks:

How would you like to use PesaBox?

The user chooses:

Savings Groups

or

Microfinance

This determines the onboarding journey and tools presented to the user.

7. Step Two — Choose the Management Structure

For Savings Groups, PesaBox asks whether the user represents:

An Organization

For example:

- NGO;
- CBO;
- Development project;
- Foundation;
- Cooperative;
- Government program.

An organization can manage multiple groups from one account.

Or:

An Independent Group

A single community group can register and manage itself without belonging to a larger organization.

This allows PesaBox to serve both large institutional programs and small independent groups.

8. Step Three — Create the Group

Basic group information is recorded, including:

- Group name;
- Region;
- District;
- Ward;
- Village or street;
- Number of members;

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- Female members;
- Male members;
- Youth members;
- Group formation date;
- Meeting frequency; and
- Responsible officers.

Each group receives its own digital workspace.

9. Step Four — Configure the Group Constitution

This is one of the most important concepts behind PesaBox.

Instead of simply storing a group's constitution as a PDF, PesaBox converts important financial rules from the constitution into system rules.

For example, the group may define:

Share value: TZS 5,000

Minimum shares per meeting: 1

Maximum shares per meeting: 5

Social fund contribution: TZS 2,000

Loan interest: 10%

Maximum loan period: 3 months

Late meeting fine: TZS 1,000

Absence fine: TZS 5,000

Late loan repayment fine: TZS 3,000

Once configured, PesaBox uses these rules throughout the system. This reduces manual calculations and improves consistency.

10. The Digital Member Book

Traditional savings groups commonly use physical member books.

PesaBox creates a digital version of this concept.

For share-based groups, each meeting can display the available share slots.

For example:

Maximum Shares: 5

If a member buys three shares:

✓ ✓ ✓ × ×

Purchased shares are recorded digitally while unused slots remain clearly visible.

The system automatically calculates:

- Number of shares;
- Share value;
- Total contribution;
- Member's cumulative shares; and
- Member's financial position.

This preserves a familiar community-finance practice while replacing the paper record with a digital one.

11. Meeting Management

Meetings are at the center of savings-group operations.
A chairperson or authorized group officer opens a meeting in PesaBox.

During the meeting, the group can manage:

Attendance

Record:

- Present;
- Late;
- Absent;
- Excused.

Contributions

Record:

- Shares;
- Mandatory savings;
- Voluntary savings;
- Social fund;
- Membership fees;
- Other contributions.

Loans

Record:

- New loan applications;
- Approvals;
- Disbursements;
- Repayments.

Fines

Record or automatically generate applicable fines.

Announcements

Record important group communication.

At the end of the meeting, PesaBox creates a digital financial record of what happened.

12. Automated Fines

PesaBox is designed to reduce disputes caused by inconsistent enforcement of group rules.

For example, if the constitution states:

Meeting starts at 2:00 PM

and:

Late arrival after 2:15 PM = TZS 1,000 fine

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a member checking in at 2:22 PM can automatically receive the applicable fine.

The same principle can support:

- Late attendance;
- Unexcused absence;
- Missed mandatory contributions;
- Late loan repayment; and
- Other configurable violations.

Certain behavioral fines, such as disruption or misconduct during a meeting, may require manual confirmation by an authorized group leader because the system cannot objectively determine that behavior on its own.

This creates an important distinction:

System-detectable violation → Automatic Fine

Human-observed violation → Authorized Manual Fine

13. Loan Management

PesaBox manages the complete loan lifecycle.

A group can configure:

- Loan eligibility;
- Maximum loan amount;
- Savings/share multiplier;
- Interest rate;
- Interest calculation method;
- Loan duration;
- Repayment frequency;
- Grace period;
- Late repayment penalties; and
- Approval requirements.

The workflow becomes:

Application → Eligibility Check → Approval → Disbursement → Repayment Schedule → Payments → Balance → Completion

For every borrower, PesaBox can show:

- Principal
- Interest
- Amount Paid
- Outstanding Balance
- Next Payment
- Due Date
- Loan Status

This replaces manual loan balance calculations.

14. Social Fund

Groups can maintain a separate Social Fund for emergencies and member welfare.

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The fund may receive regular contributions from members and be used according to the group's rules.

PesaBox keeps the Social Fund financially separated from:

- Savings;
- Share funds;
- Loan funds;
- Project funds; and
- Other accounts.

This provides clearer financial accountability.

15. Group Projects

Many savings groups operate income-generating activities.

Examples include:

- Poultry farming;
- Agriculture;
- Retail shops;
- Food processing;
- Livestock;
- Transport;
- Small manufacturing.

PesaBox allows a group to create a project and track:

- Capital Invested
- Income
- Expenses
- Profit/Loss
- Cash Balance
- Funding Source

This enables both the group and its supporting organization to understand whether the project is financially performing.

16. Seed Fund Management

NGOs and development programs sometimes provide groups with seed capital.

PesaBox records:

Funding Organization → Program → Group → Amount → Allocation → Utilization

For example:

GATA provides:

TZS 5,000,000

to:

Upendo Women's Group

The group allocates:

TZS 3,000,000 → Poultry Project

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TZS 1,000,000 → Loan Fund

TZS 1,000,000 → Equipment

PesaBox can then track how those allocations are utilized.

This creates accountability between the group and the funding organization.

17. External Loan Management

Groups may also borrow from external institutions such as:

- Banks;
- Microfinance institutions;
- Local government authorities;
- NGOs;
- Government funds.

PesaBox allows the group to record the external loan and manage:

- Lender;
- Amount borrowed;
- Interest;
- Loan purpose;
- Disbursement;
- Investment;
- Repayment;
- Outstanding balance; and
- Loan status.

The supporting organization can therefore see not only that the group received financing, but also how the financing is being managed.

18. NGO and Institutional Monitoring

PesaBox is not only a bookkeeping tool for groups.

It is also a Group Monitoring Platform for organizations.

An organization may have:

10 groups

or:

100 groups

or:

5,000 groups

The organization can view performance across its portfolio rather than collecting information manually from every group.

Its dashboard can show:

- Total groups;
- Active groups;
- Total members;
- Female participation;
- Youth participation;

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- Total savings;
- Total loan portfolio;
- Repayment performance;
- Group projects;
- Seed funds;
- External financing;
- Groups requiring support; and
- Graduated groups.

19. Group Health Score

PesaBox can assess the health and maturity of a group using measurable indicators.

These may include:

Governance

- Meeting consistency;
- Leadership;
- Constitution compliance.

Financial Performance

- Savings growth;
- Loan repayment;
- Fund utilization;
- Financial discipline.

Membership

- Attendance;
- Member retention;
- Participation.

Operations

- Record completeness;
- Meeting management;
- Financial reconciliation.

Sustainability

- Ability to operate without continuous external support.

These indicators can generate a **Group Health Score**.

For example:

Upendo Group

Health Score: **84%**

Status: **Healthy**

Maturity: **Ready for Graduation**

20. Group Graduation

Development organizations often need to determine when a group is sufficiently mature to operate independently.

PesaBox supports a structured graduation process.

A group may progress through stages such as:

New → Developing → Stable → Mature → Ready for Graduation → Graduated

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Instead of relying entirely on subjective field assessments, the organization can combine digital financial performance with structured monitoring assessments.

This helps answer:

Which groups still require support?

and:

Which groups can now operate independently?

21. Monitoring Visits

Field officers can record monitoring visits digitally.

A visit can capture:

- Date;
- Officer;
- Group;
- Observations;
- Challenges;
- Recommendations;
- Assessment score;
- Follow-up actions;
- Photos;
- Supporting documents.

This creates a historical record of each group's development.

22. Action Plans

Where a group has weaknesses, the organization can create an Action Plan.

Example:

Problem: Loan repayment rate has fallen to 68%.

Required Action: Conduct loan-management training.

Responsible Officer: Field Officer.

Due Date: 30 September.

Status: In Progress.

Future monitoring can determine whether the issue was resolved.

23. Microfinance Mode

PesaBox also supports small microfinance businesses that require a structured system without implementing a large banking core system.

A microfinance institution can manage:

- Branches;
- Customers;
- Loan officers;
- Loan products;
- Customer packages;
- Applications;
- Approvals;
- Disbursements;
- Repayment schedules;
- Collections;

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- Arrears; and
- Portfolio reports.

24. Package-Based Lending

PesaBox can support microfinance models where a customer first purchases or qualifies under a financial package.

For example:

Package Value: TZS 100,000

Loan Multiplier: 3×

The customer's maximum loan eligibility becomes:

TZS 300,000

Another customer with:

Package Value: TZS 500,000

may qualify for up to:

TZS 1,500,000

subject to the institution's lending rules and approval process.

PesaBox calculates the eligibility while the lending institution retains responsibility for the actual credit decision.

25. Multi-Tenant Architecture

PesaBox is designed as a multi-tenant platform.

This means different organizations can use the same PesaBox infrastructure while maintaining logically separated workspaces and access controls.

For example:

GATA

may manage:

- Group A
- Group B
- Group C
- Group D

While:

Another NGO

may independently manage:

- Group E
- Group F
- Group G

and:

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A Microfinance Company

may manage:

- Branch A
- Branch B
- Its customers
- Its loan portfolio

Each institution operates within its authorized workspace.

26. Role-Based Access

Not every user should see or modify everything.

PesaBox can assign different permissions to:

- Organization Administrator;
- Program Manager;
- Field Officer;
- Chairperson;
- Secretary;
- Treasurer;
- Group Member;
- Microfinance Manager;
- Loan Officer;
- Customer; and
- Other authorized roles.

For example:

A **Chairperson** may manage meetings.

A **Treasurer** may record financial transactions.

A **Member** may only view their own financial records.

A **Field Officer** may monitor assigned groups.

An **Organization Administrator** may view aggregated institutional performance.

27. Financial Transparency

Every important financial transaction can create a digital transaction record.

PesaBox can therefore maintain an audit trail showing:

What happened?

How much?

When?

Who recorded it?

Which member/group/customer was involved?

Which fund was affected?

This is critical for accountability and auditability.

28. Reporting and Analytics

PesaBox converts operational data into useful reports.

At group level, reports may include:

- Member savings;
- Share purchases;
- Contributions;
- Loan portfolio;
- Loan repayments;
- Fines;
- Social fund;
- Income and expenses;
- Project performance.

At organization level:

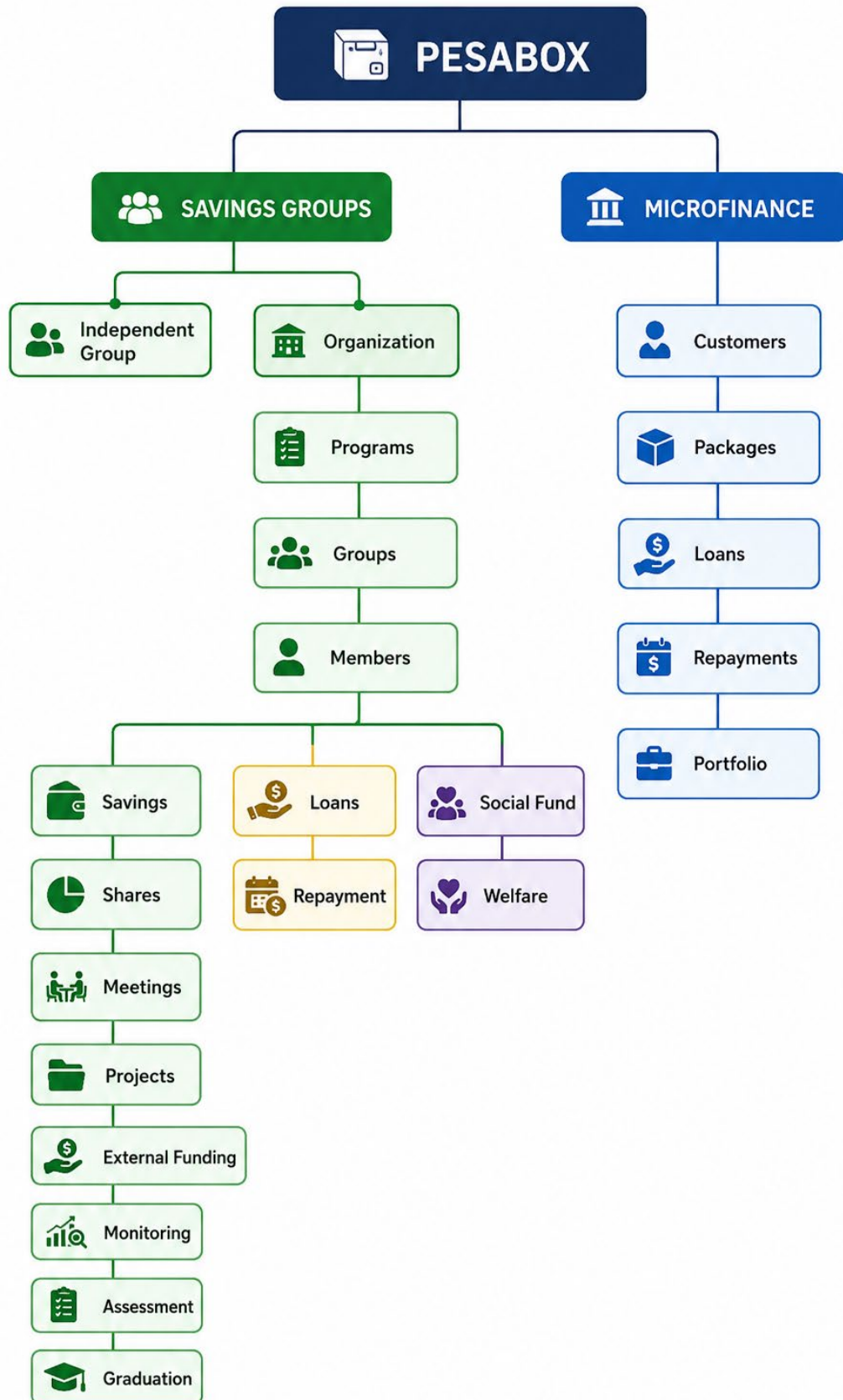
- Group performance;
- Beneficiary reach;
- Gender distribution;
- Youth participation;
- Geographic coverage;
- Savings growth;
- Loan performance;
- Seed fund utilization;
- External loan performance;
- Group health;
- Graduation progress.

At microfinance level:

- Loan portfolio;
- Disbursement;
- Collection;
- Outstanding balance;
- Arrears;
- Customer performance;
- Loan officer performance;
- Branch performance.

29. PesaBox Operating Model

The overall ecosystem can be understood as:



30. Example: A Typical PesaBox Journey

Consider **Upendo Women Group**, supported by an NGO.

The organization creates the group in PesaBox and adds 25 members.

The group's constitution specifies:

- Share value: TZS 5,000;
- Minimum shares: 1;
- Maximum shares: 5;
- Social fund: TZS 2,000;
- Loan interest: 10%;
- Loan duration: 3 months;
- Late meeting fine: TZS 1,000.

At the monthly meeting:

Neema attends.

She purchases:

3 shares × TZS 5,000 = TZS 15,000

She contributes:

Social Fund = TZS 2,000

She also repays:

Loan = TZS 20,000

PesaBox records the transactions and updates:

- Neema's share position;
- Her loan balance;
- The group's share fund;
- Social fund;
- Loan fund;
- Meeting totals;
- Group financial reports.

At organization level, the NGO's dashboard is also updated.

No separate Excel report needs to be prepared simply to reproduce the same information.

That is the operational principle behind PesaBox:

Record once at the point of activity, then use the same structured data for operations, monitoring and reporting.

31. Who PesaBox Is For

PesaBox can serve:

Savings Groups

Groups seeking to digitize their operations.

NGOs

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Organizations managing community savings and livelihood programs.

Microfinance Institutions

Small and growing lenders requiring structured loan management.

Government Programs

Programs supporting community groups and revolving funds.

Development Partners

Organizations requiring better visibility into funded programs.

Cooperatives and Community Organizations

Institutions managing member-based financial activities

32. What Makes PesaBox Different

PesaBox is not designed merely as:

a digital savings book.

It is designed around the wider community finance ecosystem.

Its core differentiation is the connection between:

Financial Management + Group Operations + Institutional Monitoring + Funding Accountability.

A member can understand their personal financial position.

A group can understand its finances.

An organization can understand the performance of all its groups.

A funder can understand how supported funds are being utilized.

This creates one connected information chain:

Transaction → Member → Group → Program → Organization

33. PesaBox Growth Vision

PesaBox can develop progressively through three stages.

MVP — Digitize Operations

Focus on:

- Members;
- Meetings;
- Attendance;
- Shares;
- Savings;
- Contributions;
- Social Fund;
- Fines;
- Loans;
- Repayments;
- Basic reporting.

Scale — Connect Institutions

Expand into:

- NGO management;
- Multiple groups;
- Programs;
- Field officers;
- Seed funds;
- External loans;
- Projects;
- Monitoring;
- Assessments;
- Group health;
- Graduation.

Growth — Build the Community Finance Infrastructure

Expand further into:

- Integrated digital payments;
- Mobile Money;
- Bank integrations;
- Automated reconciliation;
- Advanced portfolio analytics;
- Credit and risk analytics where legally and operationally appropriate;
- APIs;
- Enterprise integrations;
- Government program deployments;
- Donor reporting;
- Advanced microfinance management;
- Cross-institution ecosystem services.

34. Long-Term Vision

PesaBox's long-term ambition is to become a trusted digital infrastructure for community finance.

The goal is to move community financial management from:

Paper → Digital Records

then from:

Digital Records → Financial Intelligence

and ultimately from:

Financial Intelligence → Better Financial Decisions and Stronger Community Institutions.

PesaBox should enable a savings group in a village, an NGO managing thousands of groups, or a growing microfinance institution to operate from the same underlying financial infrastructure while receiving tools appropriate to its level.

35. Mission

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To simplify, digitize and strengthen community finance management through accessible technology.

36. Vision

To build a trusted digital infrastructure that connects people, savings groups and institutions across the community finance ecosystem.

37. PesaBox in One Sentence

PesaBox is a Community Finance Management Platform that enables savings groups, organizations and microfinance institutions to digitally manage members, savings, loans, meetings, funds, projects and performance from one connected system.

38. Core Value Proposition

For Members

Know your money.

For Groups

Manage your finances with clarity.

For Organizations

See how every group is performing.

For Microfinance Institutions

Manage lending operations from customer to repayment.

For Development Partners

See where funds go and what impact they create.

39. Conclusion

Community finance already works.

Millions of people save, borrow, invest and support one another through community-based financial structures.

The fundamental problem is not the absence of these systems.

The problem is that much of their financial and operational infrastructure remains manual, fragmented and difficult to monitor.

PesaBox brings that infrastructure into one digital environment.

It does not attempt to replace the way communities organize themselves.

It provides the digital tools required to make those systems more **organized, transparent, measurable and scalable**.

PesaBox — Community Finance, Digitally Managed.